Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board

Analysts
Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Andrew Steven Muench - Analyst, Global Food and Beverages
Claudia Lima -
Pedro Leduc - Senior Analyst

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's First Half 2016 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that the information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Good morning, everyone, and thank you for joining us today. First, I would like to thank those of you who were able to attend the Bimbo Day back in May, and I hope you got the best out of the event as we did. We have reached the halfway point of the year and continue to generate solid growth across the P&L. While some of this is attributable to external factors such as FX rates and lower raw material costs, it is our strategic focus on revenue growth, market share and profitability that is strengthening the performance trends for key brands and improvements in the consolidated cost structure.

Looking at results by region, starting in Mexico, volume growth of about 4% helped boost sales by almost 7% in the first half. Of particular note, I'm happy and we still to report that our marketing, merchandising and new portion size options in the sweet baked goods category generated healthy sales in the second quarter, reversing the trend from earlier periods and positioning us to consolidate further gains in the category. In addition, the modern channel and the bread, salty snacks and confectionery categories outperformed. Brands such as Oroweat, Tía Rosa, Barcel and Marinela did well, and we can highlight the relaunch of Marinela's Gansito and a lime-flavored Barcel Peanuts in the snack division.

We continue to make progress on reducing expenses, in part with the implementation of zero-based

budgeting. For example, marketing expenses in Mexico came in lower on a percentage basis and certain efficiencies helped to push down distribution costs. This supported an expansion of the operating and adjusted EBITDA margin levels on a community basis in Mexico despite the contraction in the gross margin that arose from the FX impact on raw materials.

In the coming months, when the pace of growth will be affected by seasonality, we will keep up our cost reduction efforts with a number of large scale value-added projects.

Moving on to North America. Sales in dollar terms were nearly flat, while there was a single-digit growth in our strategic brands for the region. These were offset by weak nonbranded volumes. In the U.S., industry data showing that consumption of commercial and mainstream breads remains soft. However, our dollar share of the total bread category is higher year-over-year, most notably in mainstream and premium. This performance reflects continued innovation, increased [indiscernible] marketing envisioning strategic brands and selected investments in new products. Recent national launches of Eureka! Organic and Oroweat Extra Grainy breads are examples of innovation in the category.

The nonbranded categories remain challenged. However, consistent growth of strategic brands, commodity favorability and productivity have driven the bottom line. We expect that performance will reflect these dynamics for the remainder of the year, although the favorable impact of commodities will lessen in the second half.

As for Canada, we faced a challenging market, particularly in the commercial bread category. We're striving to maintain discipline in the market and it may take some time to see top line growth. At the operational level, cost structure benchmarking is aimed at supporting profitability. We also continue to advance the system integration and ERP migration process in Canada and our frozen business, not a simple process by any measure. At the same time, we keep streamlining our manufacturing footprint for the whole region. For example, we recently announced 2 facilities closures: one in Hastings, Nebraska; and another in Ontario, Canada. We have also allocated higher CapEx for Canadian plants. All these investments are expected to deliver good returns in the coming years.

Despite these expenditures in Canada and higher margins -- marketing expenses in the U.S., overall operating income in North America rose more than 70%, and adjusted EBITDA margin expanded 170 basis points on the back of lower raw material costs and a decline in restructuring expenses in the U.S.

As for Latin America, the political and macroeconomic conditions in some markets have been very soft. Argentina, Venezuela and Brazil, for example, are each confronting their own unique challenges. Nonetheless, sales rose almost 7% for the region as a whole during the first half of the year. And this is particularly noteworthy that Brazil contributed to this performance, notwithstanding its own slowdown in the pace of growth given that the country is in the midst of a recession. Our efforts in terms of production and distribution combined with a focus on growth categories, such as snacks, have led to year-over-year sales growth in the country.

By no means are we immune to the broader market challenges, but our market share is holding, and we're positioned to generate further efficiencies going forward. For the region, a contraction in the operating and adjusted EBITDA margins reflected an FX impact on raw materials, higher sugar prices, as well as an increase in costs and integration expenses in Argentina and the retirement of fixed assets in Brazil.

Moving on to Europe. The more than 13% growth in the quarter was attributable to an FX benefit. This performance was the result of continued pressure in the bread category in Iberia in terms of both pricing and consumption that more than offset some new product launches. At the operating level in Europe, we improved our performance with a 220 basis point expansion in the margin and 310 basis points in the adjusted EBITDA margin. We're experiencing results from a leaner operation, as we benefited from lower costs and expenditures in the period. Also, last year we incurred expenses related to the opening of our new plant in Guadalajara, Spain, so the basis of comparison is higher.

I'm happy to announce that last week we finally closed the Panrico acquisition. Panrico will broaden our portfolio in the sweet baked goods category and will give results -- will give us a strong platform for distribution on the Iberian Peninsula. We will end up with 7 plants and approximately 2,000 associates. We expect to capture substantial synergy opportunities during the integration process on the order of EUR 40 million to EUR 50 million on a yearly basis with an investment of EUR 70 million in integration costs happening over the

[Audio Gap]

sharing more information with you about this business as we move forward on the integration.

Before I conclude my remarks this morning, I would like to talk about the balance sheet. Total debt to adjusted EBITDA at the end of the first year -- first half was 2.8x, unchanged on a consecutive basis despite the higher debt position in Mexican pesos arising from the FX impact on U.S. dollar-denominated obligations. On a pro forma basis, after the Panrico acquisition, we estimate a 3.0x total debt to adjusted EBITDA ratio.

Lastly, I want to comment on our Global Energy Race campaign. We just launched it and it will take place this year in 37 cities in 22 countries on the same day: Monday, September 25th. We expect about 100,000 runners to participate in our marquee 10K event, which we hope will set a new record. We will be donating also 2 slices of bread for every kilometer run for every person to [indiscernible] food banks in each of the 37 cities. I encourage you to learn more about the globalenergyrace.com and hope to see you out there.

At this point we're ready for the question-and-answer session. [indiscernible], could you help us with that?

Question and Answer

Operator
[Operator Instructions] And our first question comes from Alex Robarts of Citi.

Alexander Reid Robarts
I wanted to go to Mexico [indiscernible] and really it's regarding sales. Kind of we've been seeing this trend. So far this year volume has been outpacing pricing. It doesn't seem that pricing has been able to get to the inflation levels. And I'm just wondering what the thinking is behind the back half of the year? Do you think it might be possible to see some price increases? And if you could talk to any kind of potential discounts in promotional activity that was going on in the quarter? So that's kind of the first question. And

I have a CapEx question as the second one.

Daniel Javier Servitje Montull
Yes, Alex. What I can tell you is that we've been basically not having any general market price increases in Mexico. There are some mix changes, plus all in all the market has been stable. And we have also launched some promotions aimed at specific products in which we think we can increase our volume significantly, such as the ones that we mentioned on particular sweet baked products. So I would say that the market is on the right trend, and I expect that for the time being we're not foreseeing any price increases for the upcoming quarter.

Alexander Reid Robarts
Okay. Fair enough. And just on the CapEx, it's more of a clarification. On Bimbo Day you talked about kind of a step up this year to I guess about $650 million in CapEx. And I'm just wondering, in terms of the deployment calendar, if we should be thinking it's kind of more of a cash flow idea. But will that be kind of front-ended for the first half of the year mostly this CapEx, or is it in the back half? And is it safe to assume that -- it sounded like the step up is related to some Latin American plant projects and such. Have those started, or are those too soon to start?

Daniel Javier Servitje Montull
Yes, Alex. I would say that we're having sort of CapEx projects in a number of operations in the world, mostly aimed at productivity and in some cases particular expansion of capacity. But in general I will say that where CapEx projects are going on regularly we have so far been almost close to $300 million on the first semester, and we see that we will probably be on the target for the remainder of the year.

Operator
[Operator Instructions] Our next question comes from Pedro Leduc of JPMorgan.

Pedro Leduc
Regarding North America, a couple questions there. First on the gross margin gains, 260 [ph] basis points year-over-year, you said in the press release raw materials, but is there any component of factory efficiencies or SKU remanaging that's also helping? And what is the outlook for gross margins there in the second half of the year, if we can expect North America to be printing around 10% EBITDA margins in the second half?

And then last not least, some restructuring charges still happening, Canada, as you mentioned in the release, is this the bulk of it? Or is there still a couple pieces left for the second half?

Alfred Penny
Pedro, it's Fred Penny. I'll take the question on gross margin expansion. We had, I'd say, really 3 components that drove gross margin expansion in North America: favorable product mix; commodity favorability, to your point in the release; and productivity efforts across our supply chain. And as we think about the second half, I'd say we expect the commodity favorability to lessen. It will lessen. I'd expect continued improvement or continued margin improvement from mix and from our productivity efforts ongoing in the second half, although at somewhat lower levels than we experienced in the first half.

Pedro Leduc

Okay. Great. And just on that still, the 1% dollar revenue growth you saw, is this more volume or pricing driven, if there is any mix change in that regard for revenue composition in the second half that you're planning, Fred?

Alfred Penny
We saw -- in the first half we saw branded sales increased marginally around 1% in total despite some negative drag from elimination of a number of SKUs that we've been doing as a part of our portfolio optimization. And our nonbranded business, as Daniel noted in his comments, is really -- was really the tonnage drag on the top line. And again, as we think about the second half, I'd expect our branded growth to continue, hopefully step up a bit, but I think the trends are going to remain both in branded and nonbranded.

Pedro Leduc
And pricing environment has been healthy from what you're seeing?

Alfred Penny
I'd say it's stable at the moment. Quarter-on-quarter, I'd say basically flattish. But it really depends on the time frames you choose to look at. If you look at full year over full year the category pricing is up and that's reflected in revenue, category revenue being slightly better than category tonnage.

Daniel Javier Servitje Montull
On the Canadian expenses, yes, we're incurring some of these expenses as we're integrating these systems, and we'll keep on incurring them as we keep on holding our system integration in other parts of the country as well.

Operator
Our next question comes from Claudia Lima of New York Life.

Claudia Lima
[indiscernible] this year or next year because this year [indiscernible]?

Daniel Javier Servitje Montull
Sorry, we didn't understand the question. Could you repeat it, please, again?

Claudia Lima
Yes. We want to know how are you going to manage the debt, as you have in this year several maturities of the bonds in Mexico. So we wanted to know if you are going to issue new bonds or you're going to maintain the bank debt for the rest of the year or you're going to need to increase due to all the CapEx investment that you need?

Daniel Javier Servitje Montull
Unfortunately, sound is not very good, but I will try to guess your question. We just paid, as you know, [indiscernible] in total. And we basically [indiscernible] we're committed [indiscernible]. And it is a long-term one. And we're actually not sure what we're going to do. It will depend on market conditions in the future. We might be present during the [indiscernible] or might not. That's a decision that hasn't been taken.

Operator
And our next question comes from Andrew Muench of HSBC.

Andrew Steven Muench
Just a quick clarification. Maybe you could help me provide a little bit more color on the branded versus nonbranded products in North American breads. I guess what I was wondering is, is this some sort of a general trend that we're noticing toward more a nonbranded consumption? Is this like a longer-term trend? Or is this just a reflection of the current macro environment? Or what's happening there? Can you help me understand maybe the outlook for the next 1, maybe 2 years in terms of the trend there?

Alfred Penny
I'll take that, Daniel, if you want me to. What we've seen, Andrew, is that private brand -- private-label brand volume really last year and continuing to this year has been trending negative. And we're a significant supplier of private-label volume, so that's a tonnage drag on our business. I don't, frankly, want to speculate as to where it's going to go forward. It has -- I would say that the run rate -- the negative run rate has started to lessen a bit, but it has continued. And I actually think it's more of a macro issue. It's not -- we've seen it not unique to the bread category. We've seen it in other CPG categories as well. And it may be that you could attribute it to the fact that, as the economy has continued to strengthen and improve over the last several years following the big recession, consumers are opting to move -- some consumers are opting to move to brands. And I believe that's what we're seeing.

Operator
[Operator Instructions] Our next question is a follow-up from Pedro Leduc of JPMorgan.

Pedro Leduc
Thank you for the follow-up. And now turning to Mexico, the gross margins, the compression we saw this quarter, 60 bps year-over-year is significantly lower in intensity compared to the 100, 150 we saw in the last 2 quarters. Can this be read as a phasing out of the commodity raw material pressures, in the sense that perhaps in the second half of the year we shouldn't see any more gross margin pressures or at least not to a great extent? So as the efficiency gains [indiscernible] continue, is it reasonable to assume that you will be keeping, let's say, stable margins in the second half of the year in Mexico in terms of EBITDA around the same, 19%?

Daniel Javier Servitje Montull
Yes, Pedro. Well, let me tell you that internally we feel good about our performance in Mexico. We are meeting and exceeding our plant expectations. The morale is high, and we're basically executing on all the initiatives that we had planned for.

Yes, there is this commodity pressure, especially on materials that are more the ones that go on a day-to-day basis. But all in all, I would say that we're happy with our performance and our plans for Mexico, and we hope that we'll have a very good year.

Operator
This concludes the question-and-answer session. At this time I would like to turn the floor back to Mr. Daniel Servitje for any closing remarks.

Daniel Javier Servitje Montull

Thank you all for your time today, and please do not hesitate to contact us with any further comments or questions you might have.

Operator
Thank you. This concludes today's presentation. You may disconnect your line at this time. Have a nice day.

Disclaimer
The information in the transcripts ("Content") are provided for internal business purposes and should not be used to assemble or create a database. The Content is based on collection and policies governing audio to text conversion for readable "Transcript" content and all accompanying derived products that is proprietary to Capital IQ and its Third Party Content Providers.

The provision of the Content is without any obligation on the part of Capital IQ, Inc. or its third party content providers to review such or any liability or responsibility arising out of your use thereof. Capital IQ does not guarantee or make any representation or warranty, either express or implied, as to the accuracy, validity, timeliness, completeness or continued availability of any Content and shall not be liable for any errors, delays, or actions taken in reliance on information. The Content is not intended to provide tax, legal, insurance or investment advice, and nothing in the Content should be construed as an offer to sell, a solicitation of an offer to buy, or a recommendation for any security by Capital IQ or any third party. In addition, the Content speaks only as of the date issued and is based on conference calls that may contain projections of other forward-looking statements. You should not rely on the Content as expressing Capital IQ’s opinion or as representing current information. Capital IQ has not undertaken, and do not undertake any duty to update the Content or otherwise advise you of changes in the Content.

THE CONTENT IS PROVIDED "AS IS" AND "AS AVAILABLE" WITHOUT WARRANTY OF ANY KIND. USE OF THE CONTENT IS AT THE USERS OWN RISK. IN NO EVENT SHALL CAPITAL IQ BE LIABLE FOR ANY DECISION MADE OR ACTION OR INACTION TAKEN IN RELIANCE ON ANY CONTENT, INCLUDING THIRD-PARTY CONTENT. CAPITAL IQ FURTHER EXPLICITLY DISCLAIMS, ANY WARRANTY OF ANY KIND, WHETHER EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE AND NON-INFRINGEMENT. CAPITAL IQ, SUPPLIERS OF THIRD-PARTY CONTENT AND ANY OTHER THIRD PARTY WORKING WITH CAPITAL IQ SHALL NOT BE RESPONSIBLE OR LIABLE, DIRECTLY OR INDIRECTLY, FOR ANY DAMAGES OR LOSS (INCLUDING DIRECT, INDIRECT, INCIDENTAL, CONSEQUENTIAL AND ANY AND ALL OTHER FORMS OF DAMAGES OR LOSSES REGARDLESS OF THE FORM OF THE ACTION OR THE BASIS OF THE CLAIM) CAUSED OR ALLEGED TO BE CAUSED IN CONNECTION WITH YOUR USE OF THE CONTENT WHETHER OR NOT FORESEEABLE, EVEN IF CAPITAL IQ OR ANY OF THE SUPPLIERS OF THIRD-PARTY CONTENT OR OTHER THIRD PARTIES WORKING WITH CAPITAL IQ IN CONNECTION WITH THE CONTENT HAS BEEN ADVISED OF THE POSSIBILITY OR LIKELIHOOD OF SUCH DAMAGES.